THE MANY POLICIES ON OFFER

There are many types of life insurance policies available and it is not easy to navigate through them. Generally, the premium paid towards each life insurance policy depends on the age of the person, the gender, quantum of cover sought and the number of years they plan to take the policy for.

It is common for an individual seeking two different policies for the same tenure and insurance cover from the same insurer to get different premium rates. Then there are variants within each policy based on the tenure of the cover, the premium paying frequency and the way payouts are made. It is pertinent to know what each of these does to select the right one for you.

TERM INSURANCE: The most straightforward life insurance policy, it covers only the risk of death of the policyholder, and the sum assured if it happens, which makes it easy to compare. It has no savings or investment element and there is no maturity benefit (payout at the end of term).

ENDOWMENT POLICY: Combines risk cover (risk of death) and savings. These policies pay out a maturity benefit in case the policyholder survives the tenure. Generally, the maturity bonus is the sum assured and any bonus the policy gets from the insurer.

MONEYBACK PLAN: A type of endowment plan where instead of a single maturity benefit, the policy pays out a portion of the sum assured at regular intervals through the tenure. For instance, in case of a 20-year policy, the payout may be 20 per cent of the sum assured every four years till the date of maturity. So, in year 4, 8, 12 and 16, the policy will pay out 20 per cent of the sum assured and on maturity in the 20th year, it will pay the remaining 20 per cent along with any bonuses accrued. The plus part is that in case of



death of the policyholder at any given time, the policy will pay the full sum assured. Even if it happens in the 19th year, the nominees get the total sum assured even though they had got a share of it in earlier years.

UNIT-LINKED INSURANCE PLAN (ULIP): As the name suggests, these policies combine insurance and investment, dividing the premiums paid into risk cover and investment; this way, a part of the premium goes towards maintaining a pure risk term plan, while the remaining is invested in a fund with a mix of equity and debt exposure, which policyholders can choose from. These policies also come with a five-year lock-in period, which makes it a long-term investment instrument that comes with risk protection.

WHOLE LIFE INSURANCE: This type of policy insures the policyholder for their whole life or till they are 100 years old. The maturity benefit comes into play only when the policyholder turns 100 in most cases. There is no way to dip into the insurance at an earlier age. This policy is a good choice to bequeath money to dependants. The premium paying tenure of these policies varies.

GROUP LIFE INSURANCE: This type of life insurance is available if one is employed in a company. It is often provided as employee benefit by organisations. There is a master insurance policy, under which group members are listed. The policy provides a fixed insurance cover and the cost of the insurance is mostly absolved by the employer. But you lose the cover once you leave the job at the company.

RETIREMENT PLANS: This type of policy works as a tool to save towards retirement, with the policy paying out money when you have retired. You can save towards your retirement goal and fix a year when you wish to receive the money. However, in case the policyholder dies before the tenure of the policy, the insurance cover is paid to the nominees.

income will be needed for the family to maintain their current lifestyle. In addition, you could add outstanding debt, any other financial goal that you may have such as children's education or purchase of house to arrive at the amount of life cover you should consider.

In the expense replacement method, you work out the expenses needed to maintain the house that your family would need. In this case as well, you could add additional debt and other financial goals needed to provide for your family. Then there are thumb rules that are more a matter of convenience, such as 10-20 times your annual income or insurance just to cover your financial debt.

You should also factor in the cost of life insurance—the premium you need to pay. The premium will factor in your age, overall health, family health history, occupation, gender and existing life insurance covers. While shopping for life insurance, keep in mind that you will have access to a policy with better rates if you lock in coverage while young and healthy. Prices only go up as you get older, and that's especially true if you end up with a chronic health condition, such as diabetes or hypertension, which are lifestyle diseases.

IF YOU DECIDE TO BUY A LIFE INSURANCE POLICY, YOU SHOULD DEFINE YOUR NEEDS BY DECIDING HOW MUCH PROTECTION YOU NEED AND CAN AFFORD, AND WHAT KIND OF INSURANCE POLICY TO BUY

If you suffer from any other physical problems, it may be a challenge to clear the medical examination with which standard premium rates would be applicable for you. When you buy